Forecasting Next-Week Volatility of S&P 500 Stocks: Revised Proposal

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1. Project question

For each S&P 500 stock and week, we forecast next week's log realized variance, measured by the Garman–Klass estimator from daily prices [4]. Models train on 2005–2015, tune on 2016–2018 and are tested on 2019–2026 with yearly expanding refits, a one-week gap at each boundary and no tuning on test data.

1. **Accuracy.** Do pooled models fit on all stocks (ridge and lasso, then gradient-boosted trees) beat a HAR regression fit per stock [2] on mean QLIKE [6] and MSE? The Diebold–Mariano test [3] runs at 5% on the weekly cross-sectional mean loss difference with Newey–West errors. Per-stock HAR needs 52 weeks of history (younger stocks use a pooled HAR), and every model is scored on the same rows.
2. **Attribution and regimes.** Which feature blocks carry any gain (refitting without each block), and does the gain keep its sign in calm weeks and in stress weeks (VIX ≥ 30 on the Friday)?

It is answered when, for each model, the test-period table of losses and Diebold–Mariano statistics against HAR, and the block-ablation table split by regime, exist.

How and why it changed. The economic-value question (volatility-targeted portfolio, Sharpe ratio, drawdown, Fama–French regression) is dropped, as the staff notes require. Earnings timing comes from the filing times of SEC 8-K Item 2.02 releases, a proxy for the announcement, not quarterly filings that arrive weeks after it. Fundamentals from XBRL are deferred: they start in mid-2009 and the question does not need them. Stress is defined by VIX at prediction time, not by calendar years, and qlib's Alpha158 price-volume factors [7] join the features.

2. Data

S&P 500 membership by date (2,720 snapshots, 977 tickers since 2005, 950 companies once renames are merged); daily prices from Yahoo Finance (677 tickers, 2005–2026) and Alpaca (from 2016, for 165 members Yahoo lacks, plus 5-minute bars); market state from FRED (VIX, 3-month VIX, credit spread, curve slope, T-bill); earnings-release filing times and industry codes from SEC EDGAR. The raw data is 473 MB and 3,423,011 stock-days, 2,315,615 after cleaning. The modeling table has **473,684 rows and 183 columns**: one row per stock and week (725 companies, 1,139 weeks), holding the target and every feature known at that Friday's close.

3. What we learned from the data

- **Survivorship.** Yahoo drops delisted companies. We recovered 30 renamed tickers (BK became BNY) and filled members Yahoo lacks from Alpaca from 2016; 108 tickers, all gone before 2016, have no free data. Coverage of index members is 55% in 2005, 99.4% in 2019 and 99.8% in 2026, so pre-2016 training data leans toward survivors. A check against CRSP (WRDS, every member) measures the cost: from 2005 to 2015 the free table has 191,083 stock-weeks against 286,597, and its mean log variance is 0.04 below CRSP's in the same year, on average (about 4% less variance); from 2016 the gap is under 0.01, and from 2019 under 1% of stock-weeks are missing. We propose to train on CRSP to 2025.
- **Ticker reuse and wrong series.** Yahoo reuses symbols (today's `FB` is an ETF), so prices are kept only near each ticker's index spells; 9 series inside a spell belong to other securities (Yahoo's `PARA` trades near $100,000), and 4 change company on a date (Yahoo's `JCI` before 2016 is Tyco); hand-checked tables remove both.
- **The target is a sound proxy.** Against 5-minute realized variance for 697 companies since 2016, delisted ones included (281,250 stock-weeks), log weekly Garman–Klass variance has correlation 0.95 with it, and 0.94 within company, easing the proposal's worry about noisy daily targets; weeks before 2016 are not covered by this check.
- **Stress is rare.** 7.3% of stock-weeks are stress weeks, so results must be reported per regime, not as one pooled loss.

- **Leakage.** Feature windows end at the Friday close (unit tests truncate the data and recompute), an 8-K filed after 16:00 counts for the next week, membership is point-in-time (the last snapshot, 2026-08-18, is carried forward), and every price feature is a ratio, so back-adjusted prices cannot leak.

4. Plan for the rest of the project

Features: HAR lags (day, week, four weeks); Parkinson, Rogers–Satchell, overnight and downside variance; returns; dollar volume and Amihud illiquidity; SPY variance; VIX, 3-month VIX, credit spread, curve slope, T-bill; weeks since earnings, an expected-earnings flag and industry; Alpha158. **Models**: per-stock HAR and GARCH(1,1) baselines; pooled ridge and lasso on standardized features with training-window imputation; gradient-boosted trees (LightGBM). Clustering and neural networks only if time remains [1, 5]. **Evaluation**: QLIKE and MSE on 2019–2026, Diebold–Mariano tests against HAR, block ablation, every result split into calm and stress weeks.

5. Staff notes and the AC209A requirement

Economic-value backtest: dropped. Regularized regression and boosted trees: the two pooled models of Q1; clustering and neural networks wait. yfinance failures and missing delisted stocks: fetches are cached and resumable, renames, wrong series and the Alpaca fill are documented, and coverage is reported. XBRL only from mid-2009: fundamentals deferred. AC209A outside method: HAR, GARCH(1,1), the QLIKE loss and the Diebold–Mariano test, none covered in class.

Use of generative AI. Claude Code (Anthropic) helped write the data pipeline, tests and this text; the group reviewed every step and verified the numbers, which the notebook computes and exports.

References

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